Quiz 8 — Part 2 again — how the class did

14

students

Quiz 8B, second attempt
(trade and tariff; external cost)

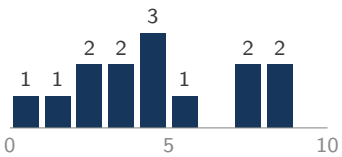
4.6 /10 mean

median 4.5

Trade and tariff: 2.8 / 5

External cost: 1.8 / 5

students per score out of 10



For everyone who took it, this score replaces the Quiz 8B score of 29 October.

An external cost: DWL and the corrective tax

DWL between SC and D from the efficient to the market quantity; the tax equal to the harm per unit.



bars: the class's share of the points of each item · task overall 36 %

Answers: version A: DWL 1.5, corrective tax 3 · version B: DWL 3, corrective tax 3

Most often: Most left the tax blank. DWL = ½ × €3 × (market − efficient quantity), the triangle between SC and D; the corrective tax equals the harm, €3 a pot. The DWL letter on the graph was almost never written.

An external cost: social cost and the two quantities

SC = S + harm; the market stops where S meets D, the efficient quantity where SC meets D.



bars: the class's share of the points of each item · task overall 38 %

Answers: version A: market quantity 3, efficient quantity 2 · version B: market quantity 6, efficient quantity 4

Most often: SC was drawn right by 4 of 14: S moved up by the harm, €3 at every quantity, so SC is PARALLEL to S. The market quantity is where S meets D, the efficient one where SC meets D.

A tariff: revenue, DWL, CS and PS

The areas with the tariff, as numbers and labels.



bars: the class's share of the points of each item · task overall 40 %

Answers: version A: tariff revenue T 6, DWL 3, CS 12.5, PS 4 · version B: tariff revenue T 3, DWL 1.5, CS 24.5, PS 4

Most often: The boxes were blank for a third of the class. T = tariff × imports with the tariff; DWL = the two small triangles beside T (their total); CS under D above the tariff price; PS above S below it. Nobody wrote T and DWL inside all three areas on the graph.

A tariff: price and quantities

Price = world price + tariff; production, consumption and imports there.



bars: the class's share of the points of each item · task overall 69 %

Answers: version A: price with the tariff 4.5, production 2, consumption 5, imports 3 · version B: price with the tariff 3, production 4, consumption 7, imports 3

Most often: Right for most. The price with the tariff is the world price PLUS the tariff (€2.5 + €2 = €4.5 in version A), not the tariff alone; then production on S and consumption on D at that price.

Opening to trade

At the world price: production on S, consumption on D, imports = the gap.



bars: the class's share of the points of each item · task overall 73 %

Answers: version A: production 1, consumption 7, imports 6 · version B: production 2, consumption 8, imports 6

Most often: Right for most. At the world price read production on S and consumption on D; imports = consumption − production. Read S carefully: in version A it rises 2 per thousand (P = 0.5 + 2Q), in B ½ per thousand.